Entry cost versus mean absolute hedging error E[|PnL|] · one-day digital hedges

Mean–variance

Entropy

Power-exponential

CVaR OCE

Mean entry cost · USD thousands

Mean absolute hedging error · USD thousands

SANOS Greek
SANOS parametric
SANOS historical
SANOS historical PCA
FuNVol
VolGAN
GROMM P
GROMM Q
AD-Seq-Vol
Unhedged
BS delta
BS delta + vega
λ = 1
λ = 10
λ = 100
λ = 1000

y 2024 dates; ten targets. Loss uses costed out-of-sample long-claim P&L. Risk aversions λ = 1, 10, 100, 1000 where complete. Greek caps optimize factor risk separately; SANOS parametric appears only where independently fitted for the plotte